

Core Finance

Week 9

MGMP 543

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Spring 2025



RICE | BUSINESS
Jones Graduate School of Business

Welcome Back! Today's Topics

- Boeing 7E7 Case
- Week 8 Recap
- Quiz 7
- Week 7 Examples
- Discounted Cash Flow (DCF)
 - Free Cash Flow to the Firm (FCFF)
- Payout Policy
- Examples

Boeing 7E7 Case

Case Questions

1. What is an appropriate required rate of return against which to evaluate the prospective IRRs from the Boeing 7E7?
 - a) Which beta did you use? Why?
 - b) When you used the CAPM, which risk premium and risk-free rate did you use? Why?
 - c) Which capital structure weights did you use? Why?
2. Judged against your WACC, how attractive is the Boeing 7E7 project?
 - a) Under what circumstances is this project economically attractive?
 - b) What does a sensitivity analysis (either the analysis presented in the case or another that you have done on your own) reveal about the nature of Boeing's gamble on the 7E7?
 - c) Should Boeing have launched the 7E7 in 2003?

What is the Case About?

Why is Boeing thinking about launching the 7E7 now?

Is now a good time for Boeing to invest in 7E7?

How can we assess if the 7E7 creates value?

How did you estimate WACC?
What causes different estimates?

Anything else that the Board should consider that is not captured in our calculations?

Case Questions

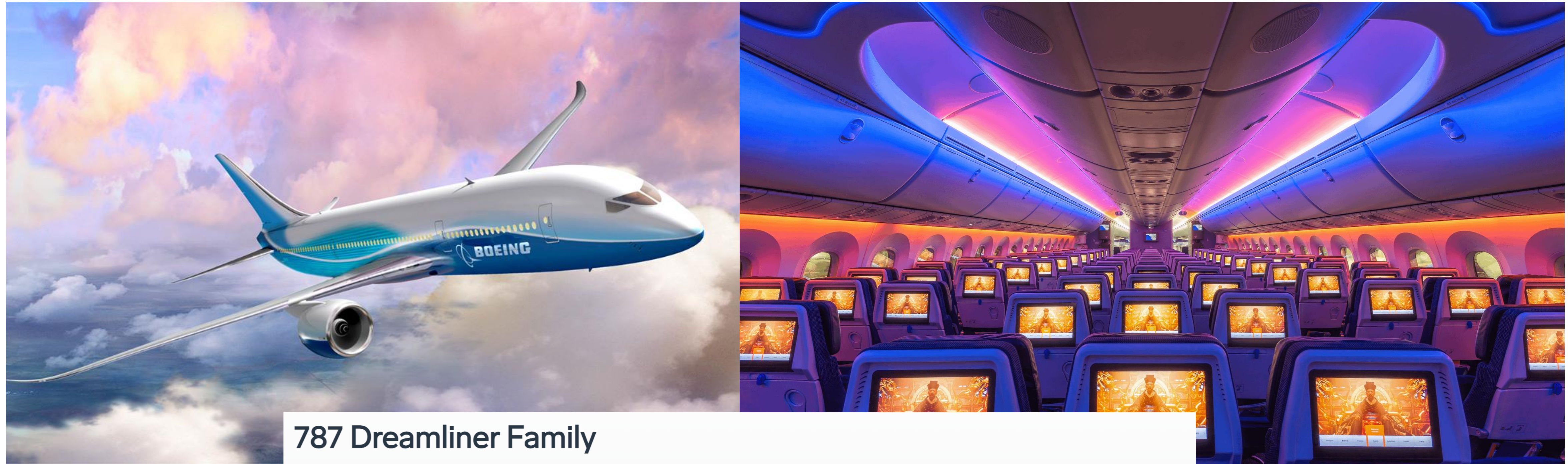
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 - c) Should Boeing have launched the 7E7 in 2003?

What Happened IRL?

- Boeing's board voted in September 2003 to move forward with the project. They took orders from the two largest Japanese airlines (Nippon Airways and Japan Air Lines) despite not having a major U.S. customer

What Happened IRL?

Boeing 7E7 (787) Dreamliner



787 Dreamliner Family

About the bestselling passenger widebody of all time

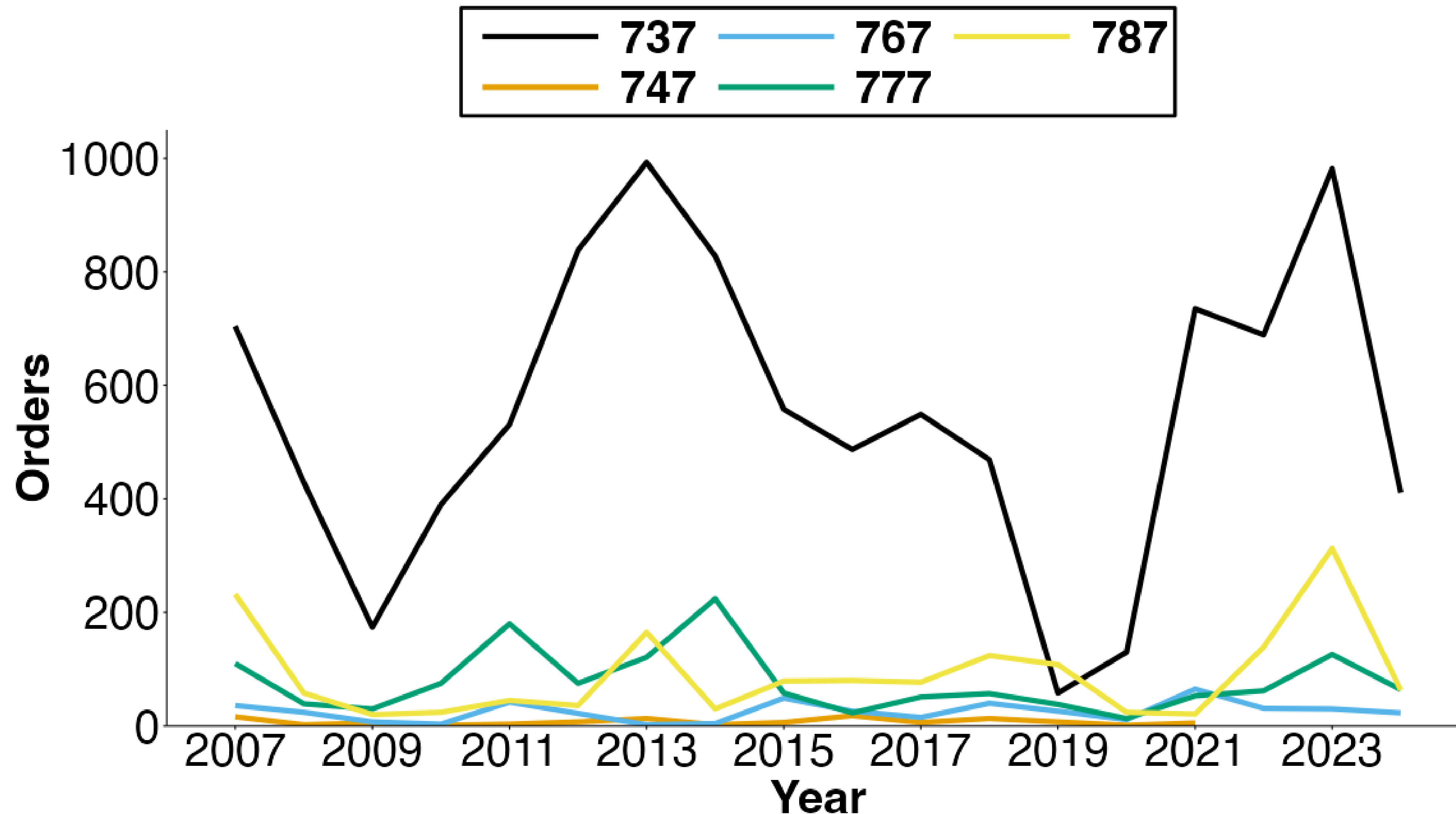
The industry-leading technology of the 787 Dreamliner creates remarkable opportunities for airlines around the world and dramatically improves the air travel experience. The airplane's lighter and robust composite structure enables airlines to reduce fuel use and emissions by 25 percent while range flexibility allows carriers to profitably open new routes. With more than 410 new nonstop routes opened, the 787 family has carried over 900 million passengers on more than 4.5 million flights. And for passengers, it's an experience like none other in the air. Innovative interiors provide spacious cabins, better views with the largest windows available on any commercial jet today, and cabin enhancements that allow passengers to arrive to their destinations feeling more refreshed. Experience the 787 Dreamliner difference.

[LEARN MORE ABOUT 787 QUALITY](#)

What Happened IRL?

Boeing 7E7 (787) Dreamliner

1,638 orders (net) , 12% of Boeing's total 2007 to 2024



Week 8 Recap

What Did We Learn Last Week?

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- MM Theory
 - Without taxes, capital structure irrelevant to value of the firm
 - With taxes, debt financing trades-off tax benefits (debt tax shield) against increased risk of financial distress
 - Required rate of return for equity holders rises with leverage
- Weighted Average Cost of Capital (WACC), valuing firms, projects, conglomerates
- Levered Beta and Unlevered Beta to Value Companies with Different Capital Structures
- Costs of Financial Distress
- Incentive Benefit of Debt
- Adjusted Present Value (APV) and Flow to Equity Approach (FTE)

Quiz 7

Q2. If firms did not have limited liability, their asset risk would be increased. (Hint: Assume perfect capital markets). True or False?

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False

- **Capital structure has no effect on the risk of the underlying assets.**

Q3. As long as the firm is certain that the return on assets will be higher than the interest rate, an issue of debt makes the shareholders better off. True or False?

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False

- Any issue of debt could potentially cause the WACC to rise above the ROA, and so make shareholders worse off.

Q4. In perfect capital markets, according to Modigliani and Miller Proposition II, the firm's expected return on assets depends on several factors including the firm's capital structure. True or False?

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False

- Expected return on equity increases with leverage, but expected return of assets is unaffected.

Q5. Modigliani and Miller Proposition II states that the rate of return required by shareholders increases steadily as the firm's debt-equity ratio increases. True or False?

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True

- As the debt-equity ratio increases, the risk increases to shareholders, and so does the required return to shareholders.

Week 7 Examples Continued

(See Last Week's Slides)



Discounted Cash Flow (DCF)



Aim: Value any project/firm

- Weeks 1-5: Tools for valuing assets
- Week 6: Hopefully, prices are right 😊
- Week 8: Compare financing options
- **Week 9: Putting this together (with some accounting) to value any project/firm!**



Free Cash Flow to the Firm (FCFF)

Valuing Dividend-Paying Firms (Recap)

Week 3 introduced Dividend Discount Model (DDM):

$$P_0 = \sum_{t=1}^{\infty} \frac{D_t}{(1+r)^t}$$

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Weeks 5 & 8 learnt how to calculate return on equity:

$$E[r_E] = r_{rf} + \beta_E (E[r_M] - r_{rf})$$

We can use this return on equity as our discount rate in the DDM:

$$P_0 = \sum_{t=1}^{\infty} \frac{D_t}{(1+r_E)^t}$$

What May Go Wrong Using DDM to Value Firms?

What May Go Wrong Using DDM to Value Firms?

- Dividends are discretionary. Some firms may choose to pay no/low dividends. Are they worthless / less valuable firms?
- PVGO taught us that firms can increase their growth by reinvesting cash in $NPV > 0$ projects rather than paying out dividends. Are firms that pay less in dividends worth less?

There must be a better way to value firms...

Discounted Cash Flow (DCF)

Now we have a general formula to value all types of firms irrespective of whether they pay dividends or how they are financed:

$$\text{Firm Value} = \sum_{t=1}^{\infty} \frac{FCFF_t}{(1 + WACC)^t}$$

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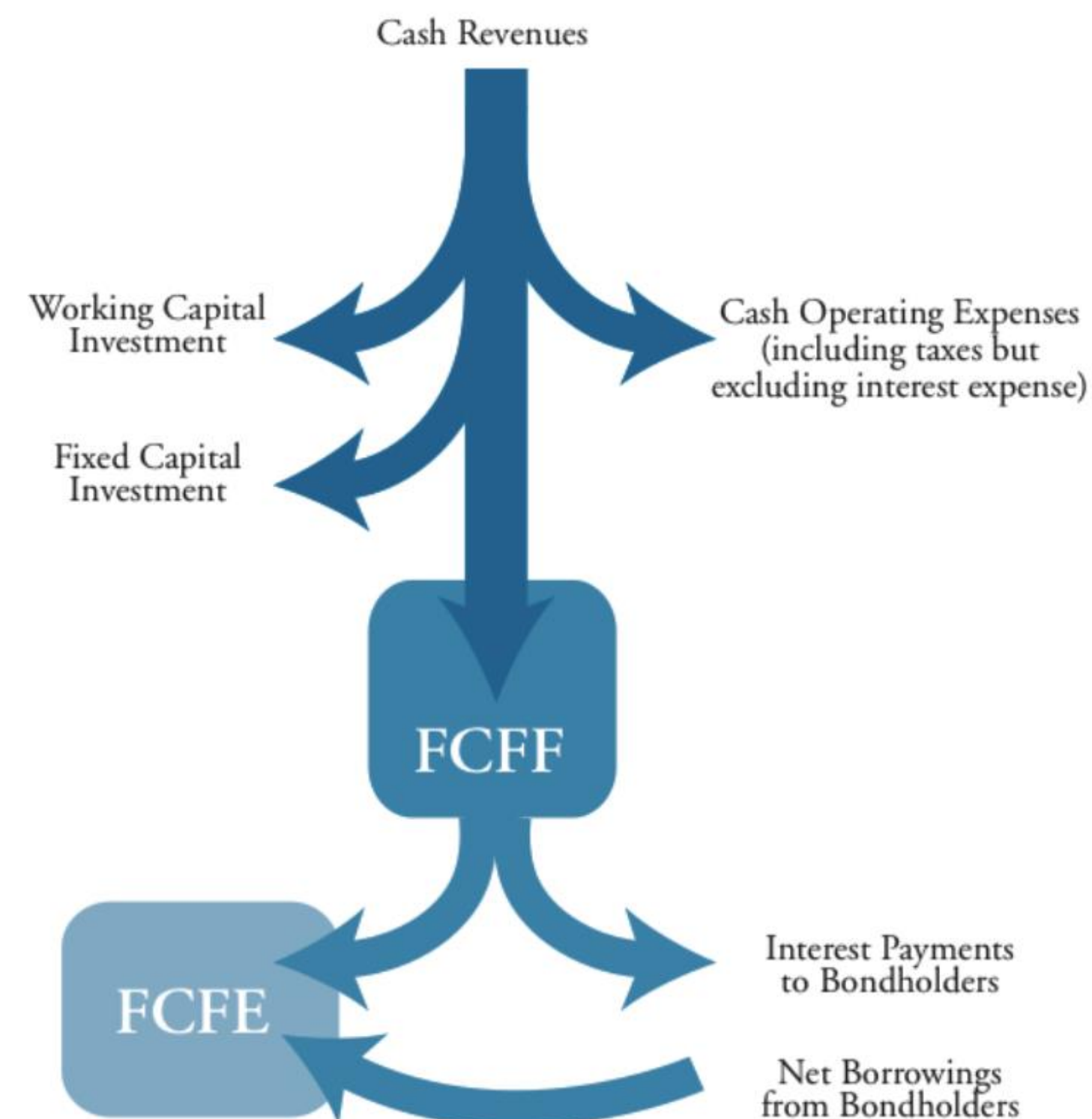
$$Firm\ Value = \sum_{t=1}^{\infty} \frac{FCFF_t}{(1 + WACC)^t}$$

- We focus on real economic cash flows **NOT** accounting profit
- **FCFF** estimates the cash generating ability of a firm
- Our discount rate is the opportunity cost to the firm
(e.g., WACC if the project has a similar risk to the firm's risk)

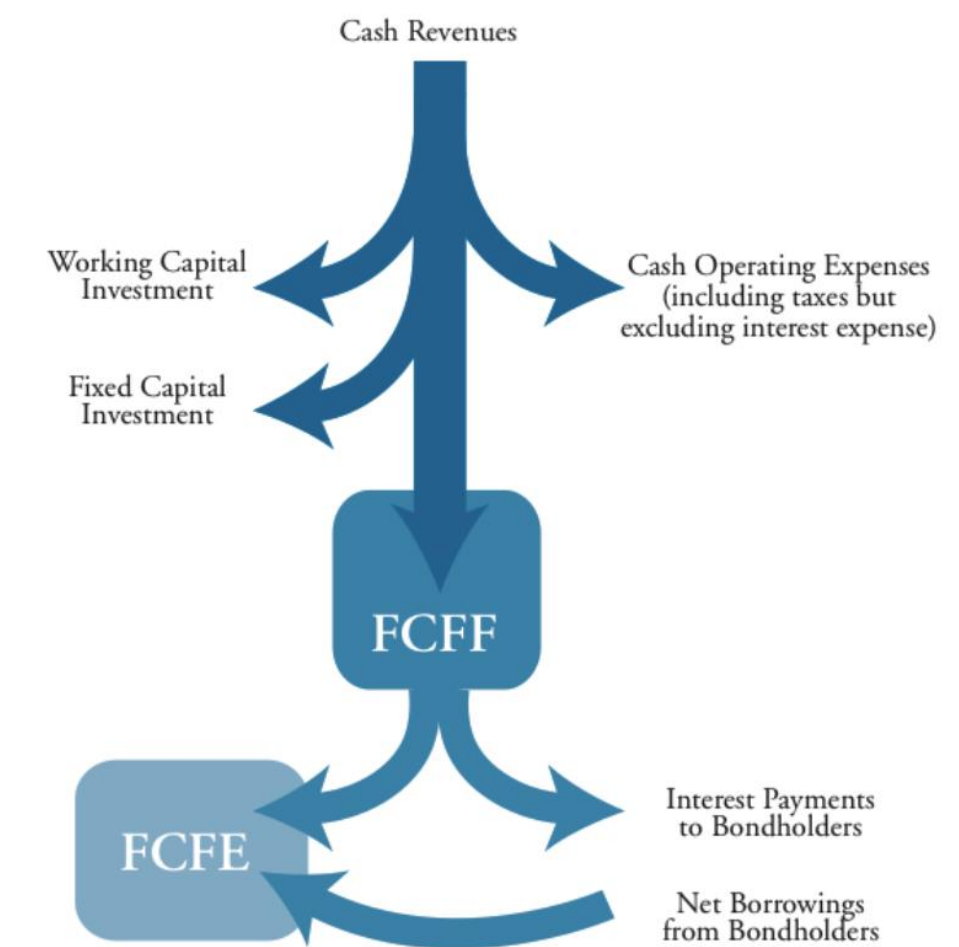
Free Cash Flow to the Firm (FCFF)

Free Cash Flow to the Firm (FCFF) captures all cashflows generated from operations available to all investors of the firm

Free Cash Flow to Equity (FCFE) cash available to distribute to shareholders.



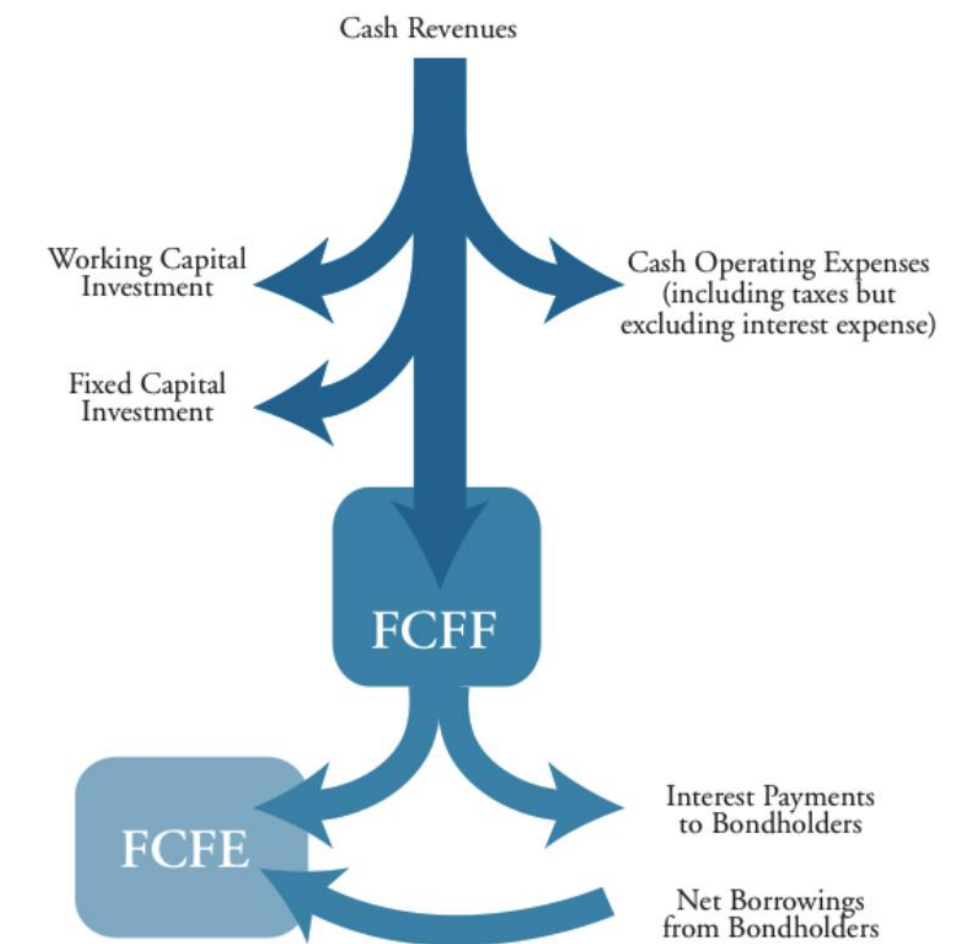
Calculating Free Cash Flow to the Firm (FCFF)



$$FCFF = [EBIT \times (1 - \text{tax rate})] + Dep - FCInv - WCInv$$

- EBIT: Earnings Before Interest and Taxes (EBIT also known as “Operating Profit”)
- Dep: Depreciation (n.b. assuming this is the only ‘Non-Cash Charge’)
- FCInv: Fixed Capital Investment
- WCInv: Working Capital Investment

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There are other ways to calculate FCFF that you don't need to know for this class:

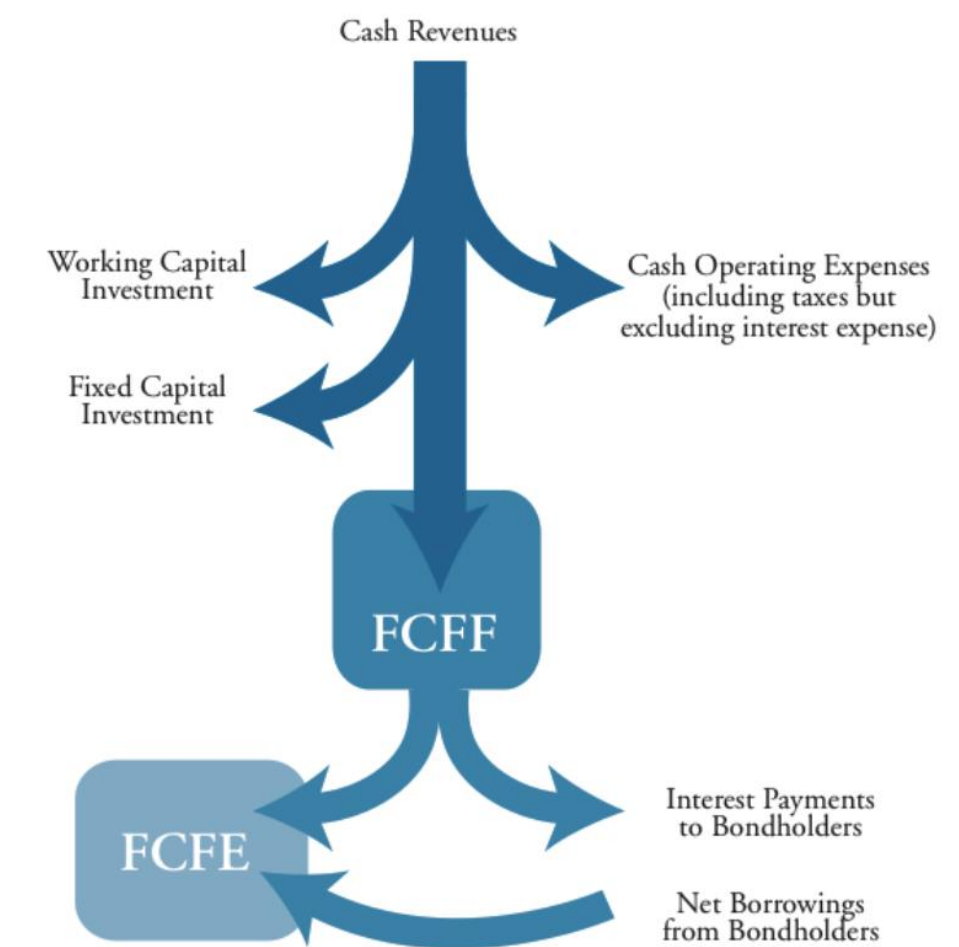
$$FCFF = NI + NCC + [Int \times (1 - \text{tax rate})] - FCInv - WCInv$$

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$$FCFF = [EBITA \times (1 - \text{tax rate})] + (Dep \times \text{tax rate}) - FCInv - WCInv$$

$$FCFF = CFO + [Int \times (1 - \text{tax rate})] - FCInv$$

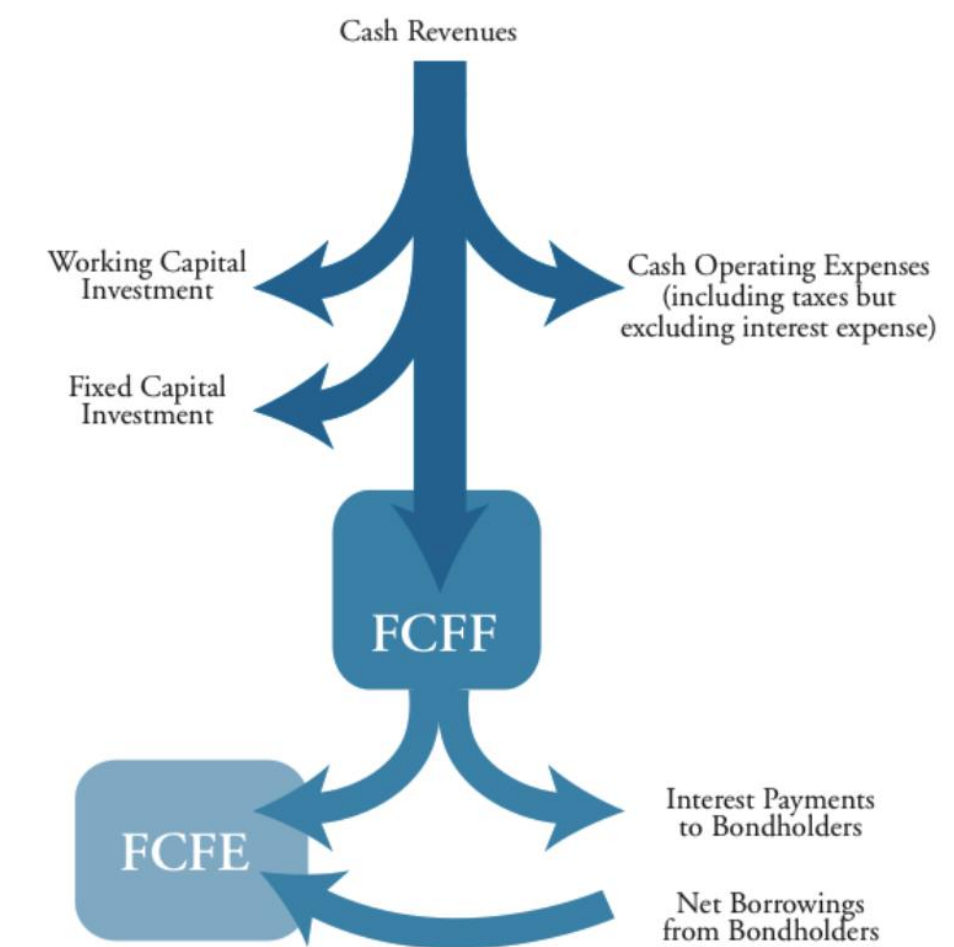
Calculating **EBIT** and **Dep** in Free Cash Flow to the Firm (FCFF)



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- **EBIT** is pre-tax income after paying for Cost of Goods Sold (COGS) , Selling, General, and Administrative Expenses (SGA, i.e., overheads and operating costs), and accounting for depreciation (& other 'Non-Cash Charges' e.g., amortization of intangible assets, asset impairments, bad debt provisions).

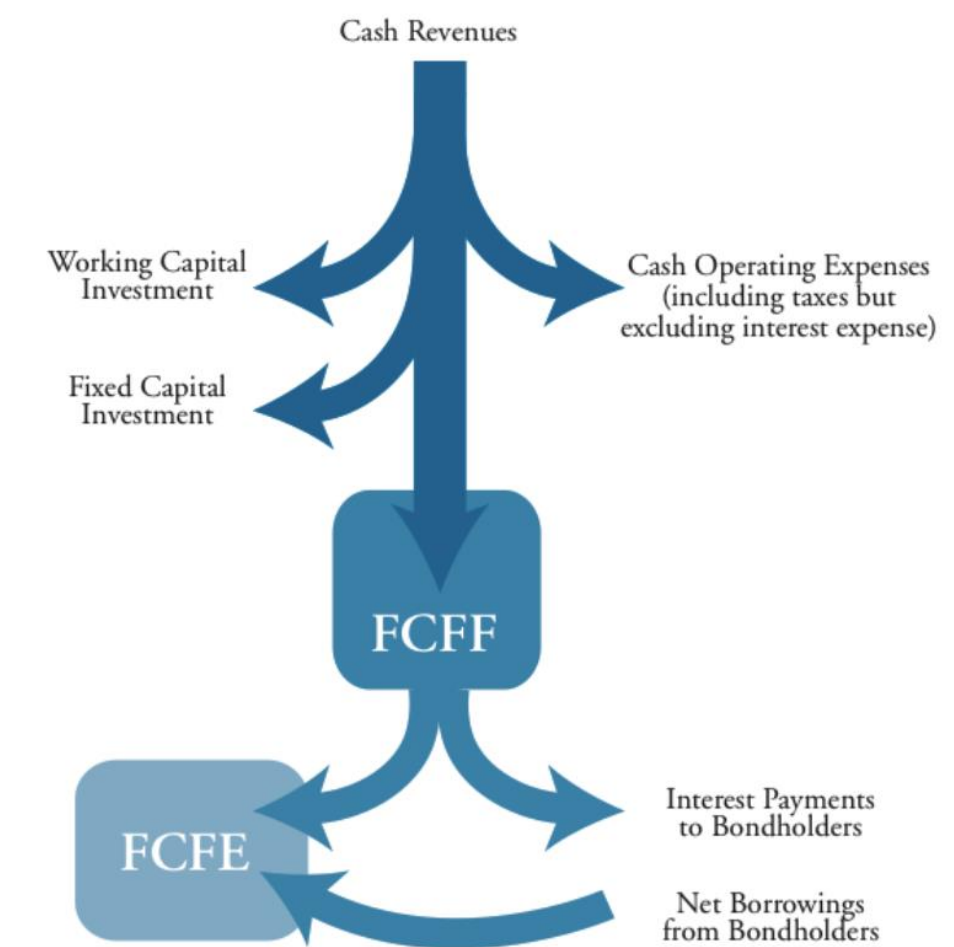
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- Need to add back in **depreciation** (and other non-cash charges) as no cash has left the company – this is just an accounting adjustment.

Calculating FCInv in Free Cash Flow to the Firm (FCFF)

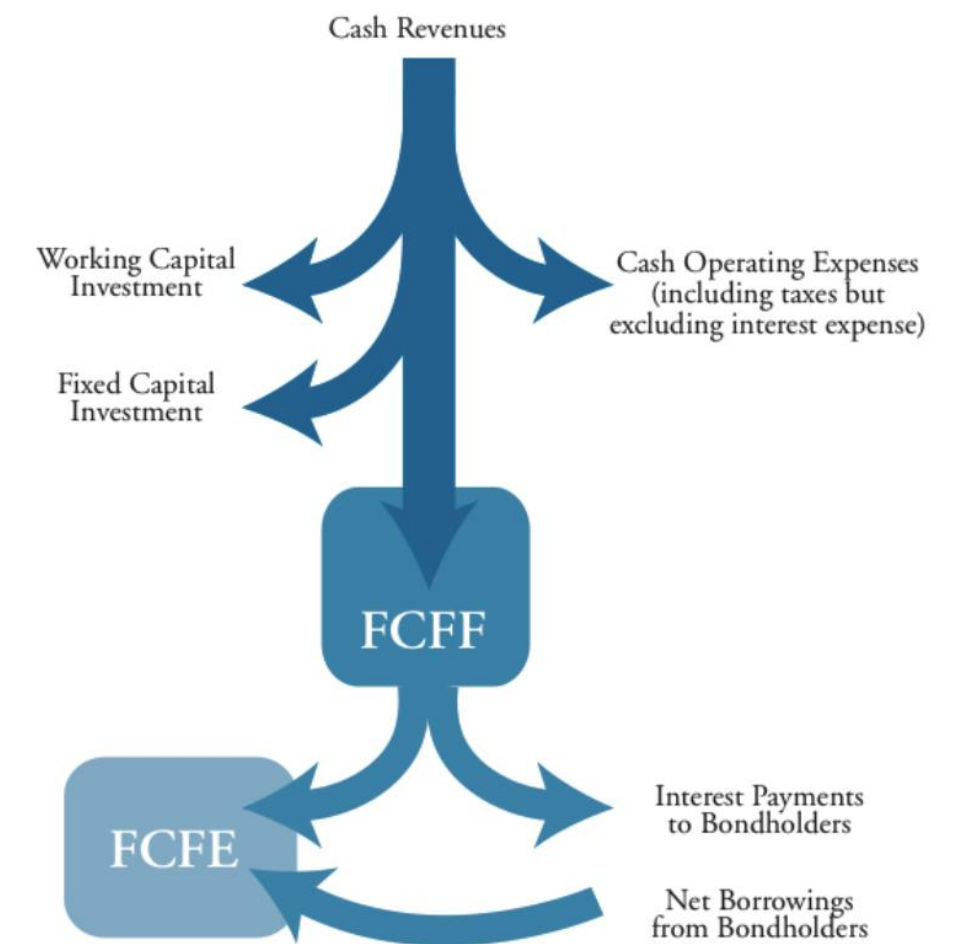


$$FCFF = [EBIT \times (1 - \text{tax rate})] + Dep - FCInv - WCInv$$

- Fixed Capital Investment (FCInv) doesn't appear on Income Statement, but represents cash leaving a firm
- If no fixed assets were sold, can calculate using difference in property, plant, and equipment (PP&E):

$$FCInv = \text{Capital Expenditures} = \text{Ending Gross PP\&E} - \text{Beginning Gross PP\&E}$$

Calculating **WCInv** in Free Cash Flow to the Firm (FCFF)

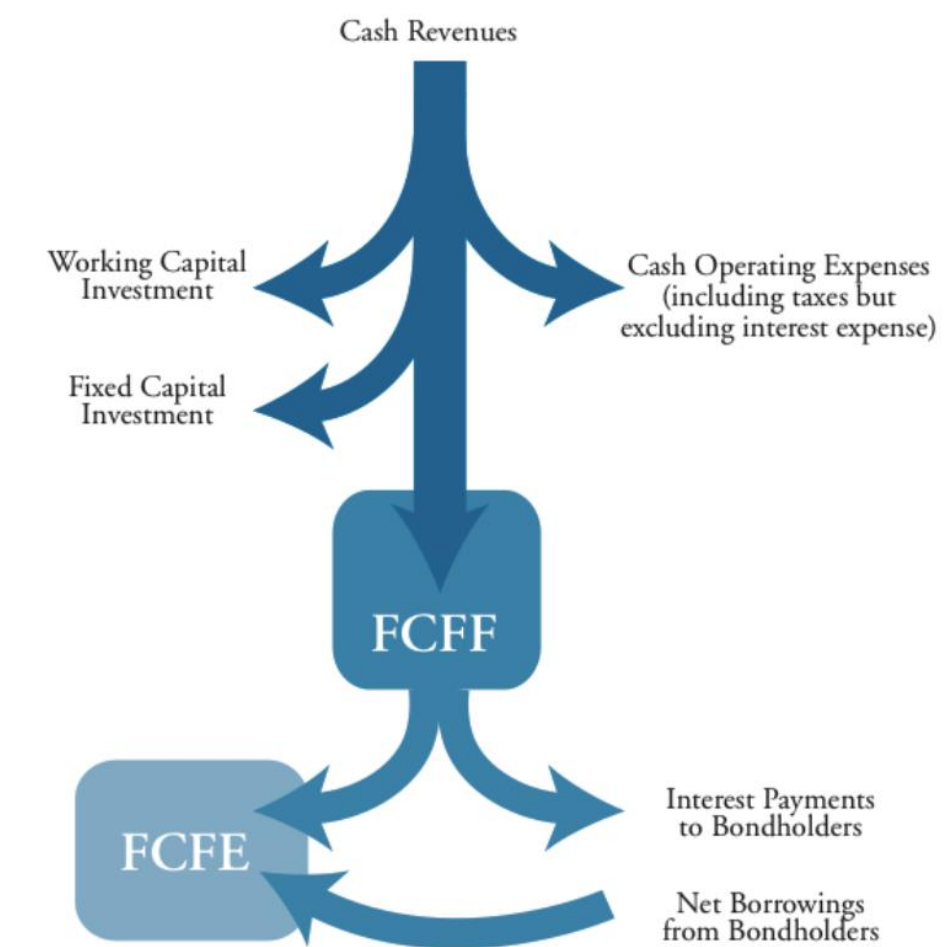


$$FCFF = [EBIT \times (1 - \text{tax rate})] + Dep - FCInv - WCInv$$

- Working Capital Investment (WCInv) is the change in working capital:

$$WCInv = WC_t - WC_{t-1}$$

Calculating **WCInv** in Free Cash Flow to the Firm (FCFF)



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- $WC = \text{Working Current Assets (WCA)} - \text{Automatic Sources (AS)}$
- $\text{Working Current Assets (WCA)} = \text{Current Assets} - \text{Excess Cash} = \text{Necessary Cash} + \text{Accounts Receivable} + \text{Inventory} + \text{Other Current Assets}$
- $\text{Automatic Sources (AS)} = \text{Accounts Payable} + \text{Anything "Accrued" (e.g., expenses, taxes, wages)}$. AS are non-interest bearing liabilities.

Discounted Cash Flow (DCF)

Enterprise Value (EV)

- **‘Enterprise Value (EV)’** measures the total value of the firm if you were to buy all the financial claims of the firm. I.e., it is the value of the entire firm.

$$\text{EV} = \text{Market Capitalization} + \text{Market Value of Debt} - \text{Cash and Equivalents}$$

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- And if other financing sources you include them as well.
- Cash & equivalents **decrease** EV because it is a rebate on the purchase price (e.g., you buy jeans for \$100 and they have \$20 cash in the pocket.

then really the jeans cost \$80)

- Can rearrange this to back out the value of equity:

$$\text{Market Capitalization} = \text{EV} - \text{Market Value of Debt} + \text{Cash and Equivalents}$$

Steps to Valuing a Firm Using Discounted Cash Flow (DCF)

$$\text{Firm Value} = \sum_{t=1}^{\infty} \frac{FCFF_t}{(1 + WACC)^t}$$

1. Project the future free cash flows to the firm (FCFF) over the forecast period 'H' (e.g., 5 years typical)

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2. Calculate the weighted average cost of capital (WACC) to use to discount FCFF
3. Project a '**terminal value**' – the present value of free cash flows after the forecast period (PV_H)
4. Discount the free cash flows to get a value of the firm
 - For value of equity, Enterprise Value – Firm Value
 - For share price, $\frac{\text{Value of Equity}}{\text{Number of Shares Outstanding}}$

$$PV = \sum_{t=1}^H \frac{FCFF_t}{(1 + WACC)^t} + \frac{PV_H}{(1 + WACC)^H}$$

Payout Policy

Measuring Dividend Policy

Dividend Payout = Dividends Paid / Earnings

- Fraction of earnings paid out to shareholders

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- Fraction of earnings paid out to shareholders

Dividend Yield = Dividends Paid / Stock Price

- Return an investor makes from dividends alone (i.e., not capital gains)
- Can think of this like an interest rate on debt, except dividend policy can change

Does Dividend Policy Matter for Stock Price or Capital Structure?

In Modigliani & Miller Theory, no!

- Higher returns are what investors care about.
 - Investors should not care whether they get that in dividends or from stock price appreciation
- This is in theory, where there are not market imperfections.

When & How Should a Firm Return Cash to Shareholders?

- Invest in all $NPV > 0$ projects that return more than the firm's hurdle rate
- Return leftover cash to shareholders. How to do so?

1. Dividends

- Regular Dividends: Regular payment usually from profits.
 - Regular dividends are sticky over time, and they follow earnings (i.e.,  earnings, expect  dividends)
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 - Increases number of shares, reduces earnings per share (EPS)
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 - 3. Share Repurchases / Stock Buybacks**
 - Company buys back its own shares directly from the market, or company offers shareholders the option to sell their shares at a fixed price
 - Reduces number of shares, increases earnings per share (EPS). Shares held as 'Treasury shares'
 - Increases firm leverage

Share Repurchases

- Firms may want to repurchase shares if the stock price is less than its fair value
- If so, you can create value for existing shareholders
 - E.g., If fair value is \$100 and you repurchase for \$80 then value is for shareholders is:
 $(\$100 - \$80) \times \text{Number of Shares Repurchased}$

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Benefits?

- Positive signal? Management believes stock is undervalued
- More flexible alternative to dividends
- More tax efficient for tax-paying investors
 - Taxes are paid on dividends when they are received
 - Taxes through price appreciation are delayed until investor sells
(taxes in the future are less in present value terms than an equivalent tax amount today)

Costs?

- Often ill-timed. Companies more likely to buy back stocks when the company is in good financial health and the stock price is high. If overvalued, buybacks reduce value!
- As with dividends, could cash be better spent on $NPV > 0$?
- Negative signal? May indicate that there are not other profitable growth opportunities

Is the Price Right? “The Dividend Disconnect” (Hartzmark & Soloman, 2019)

- Investors should care about total returns (dividends + capital gains)
- Dividends are highly predictable in timing and amount
- Dividends result in price decreases
- Investors trade as if dividends and capital gains are disconnected attributes
 - Dividends as small, stable gains. Prices as possible large gains/losses
 - Dividends and capital gains spent differently – dividends often not reinvested
 - Price changes not returns are salient for investors deciding whether to buy/sell

Examples

Q1. Calculate the free cash flows to the firm.

Sting's Income Statement

<i>Income Statement</i>		
	2010 Forecast	2009 Actual
Sales	\$300	\$250
Cost of goods sold	120	100
Gross profit	180	150
SG&A	35	30
Depreciation	50	40
EBIT	95	80
Interest expense	15	10
Pre-tax earnings	80	70
Taxes (at 30%)	24	21
Net income	\$56	\$49

Balance Sheet

	2010 Forecast	2009 Actual
Cash	\$10	\$5
Accounts receivable	30	15
Inventory	40	30
Current assets	\$80	\$50
Gross property, plant, and equipment	400	300
Accumulated depreciation	(190)	(140)
Total assets	\$290	\$210
Accounts payable	\$20	\$20
Short-term debt	20	10
Current liabilities	\$40	\$30
Long-term debt	114	100
Common stock	50	50
Retained earnings	86	30
Total liabilities and owners' equity	\$290	\$210

Cash Flow From Operations Forecast for 2010

Net income	\$56
+ depreciation	50
– WCInv	25
Cash flow from operations	\$81

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Sales	\$300	\$250	Cash	\$10	\$5	Net income	\$56
Cost of goods sold	120	100	Accounts receivable	30	15	+ depreciation	50
Gross profit	180	150	Inventory	40	30	– WCInv	25
SG&A	35	30	Current assets	\$80	\$50	Cash flow from operations	\$81
Depreciation	50	40	Gross property, plant, and equipment	400	300		
EBIT	95	80	Accumulated depreciation	(190)	(140)		
Interest expense	15	10	Total assets	\$290	\$210		
Pre-tax earnings	80	70	Accounts payable	\$20	\$20		
Taxes (at 30%)	24	21	Short-term debt	20	10		
Net income	\$56	\$49	Current liabilities	\$40	\$30		
			Long-term debt	114	100		
			Common stock	50	50		
			Retained earnings	86	30		
			Total liabilities and owners' equity	\$290	\$210		

FCInv = Change in Gross Property, Plant, and Equipment (as no asset sales):

$$\text{FCInv} = 400 - 300 = 100$$

WCInv = Change in working capital (excluding cash and short-term borrowings):

$$\text{WCInv} = (\text{A/R 2010} + \text{Inventory 2010} - \text{A/P 2010}) - (\text{A/R 2009} + \text{Inventory 2009} - \text{A/P 2009})$$

$$\text{WCInv} = (30 + 40 - 20) - (15 + 30 - 20) = 50 - 25 = 25$$

$$\text{FCFF} = \text{EBIT} \times (1 - \text{Tax Rate}) + \text{Dep} - \text{FCInv} - \text{WCInv}$$

$$\text{FCFF} = 95 \times (1 - 0.3) + 50 - 100 - 25 = -\$8.5. \text{ (EBIT calculated from net income} + \text{interest} + \text{tax} = 56 + 15 + 24 = 95)$$

Q2. Calculate the free cash flows to the firm in year 0 to starting a Chicago Hot Dog Business in Houston.
Assume no taxes, depreciation, or other operating expenses.

Financed with \$50 of your own cash as equity
A \$50 line of credit from Brewers Bank that you borrow \$30 on
Cost of operations: \$80 cart bought with cash on hand
No hot dogs made or sold yet

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Cost of operations: \$80 cart bought with cash on hand

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$$\text{EBIT} = 0$$

$$\text{Depreciation} = 0$$

$$\text{FCInv} = 80$$

$$\text{WCInv} = 0$$

$$\text{FCFF} = 0 + 0 - 80 - 0 = -80$$

Q3. How would your answer to the previous question change if you now contributed \$10 less in equity and borrowed \$10 more on line of credit?

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No change! FCFF measures how much cash debt and equity together can put in (or take out) of the firm

Q4. Calculate the free cash flows to the firm in **year 1** to Chicago Hot Dog Business in Houston.
Assume no taxes, depreciation, or other operating expenses.

Year 0:

- Financed with \$50 of your own cash as equity
- A \$50 line of credit from Brewers Bank that you borrow \$30 on
- Cost of operations: \$80 cart bought with cash on hand
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Year 1:

- Spend \$20 on supplies for 20 hot dogs
- Sell 10 hot dogs for \$40 (half of your supplies)
- Keep remaining 10 hot dogs in inventory
- Borrow an additional \$20 for supplies at the beginning of the year
- Use \$20 in revenues to pay interest and principal on line of credit
- Pay yourself a dividend of \$20

Q4. Calculate the free cash flows to the firm in **year 1** to Chicago Hot Dog Business in Houston.
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$$\text{EBIT} = 40 - 10 = 30$$

$$\text{Depreciation} = 0$$

$$\text{FCInv} = 0$$

$$\text{WCInv} = 10$$

$$\text{FCFF} = 30 + 0 - 0 - 10 = 20$$

Q5. Calculate the free cash flows to the firm in **year 1** to Chicago Hot Dog Business in Houston.

Now assume depreciation of the cart by \$5 during year 1.

Assume no taxes or other operating expenses.

Year 0:

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Q5. Calculate the free cash flows to the firm in **year 1** to Chicago Hot Dog Business in Houston.

Now assume depreciation of the cart by \$5 during year 1.

Assume no taxes or other operating expenses.

Year 0:

- Financed with \$50 of your own cash as equity
- A \$50 line of credit from Brewers Bank that you borrow \$30 on
- Cost of operations: \$80 cart bought with cash on hand
- No hot dogs made or sold yet

Year 1:

- Spend \$20 on supplies for 20 hot dogs
- Sell 10 hot dogs for \$40 (half of your supplies)
- Keep remaining 10 hot dogs in inventory
- Borrow an additional \$20 for supplies at the beginning of the year
- Use \$20 in revenues to pay interest and principal on line of credit
- Pay yourself a dividend of \$20

$$\text{EBIT} = 30 - 5 = 25$$

$$\text{Depreciation} = 5$$

$$\text{FCFF} = 30 - 5 + 5 = 30$$

So, in world without taxes FCFF is unchanged by depreciation

Q6. Calculate the free cash flows to the firm in **year 2** to Chicago Hot Dog Business in Houston.
Assume no taxes, depreciation, or other operating expenses.

Year 0:

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- Cost of operations: \$80 cart bought with cash on hand
- No hot dogs made or sold yet

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Year 2:

- **No hot dogs made.**
- **Sell last \$10 of hot dogs for \$10**
- **Sell cart for \$80**
- **Use \$90 in revenues to pay off remaining bank loan (principal and interest) and pay yourself a dividend with the remainder**

Q6. Calculate the free cash flows to the firm in **year 2** to Chicago Hot Dog Business in Houston.
Assume no taxes, depreciation, or other operating expenses.

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- Sell cart for \$80
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- Sell cart for \$80
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$$\text{EBIT} = (10 - 10) = 0$$

$$\text{Depreciation} = 0$$

$$\text{FCInv} = -80$$

$$\text{WCInv} = -10$$

$$\text{FCFF} = 0 - (-80) - (-10) = 90$$

Business made no profit but FCFF is large because of fixed asset sale and reduction in inventory

Q7. How much is the Chicago Hot Dog Business in Houston worth at the end of year zero (after you've bought the cart)?
Suppose WACC is 15%

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Suppose WACC is 15%

$$\text{Value} = 20 / (1.15) + 90 / (1.15^2) = 85.44$$

Q8. How much is the **equity worth** in Chicago Hot Dog Business in Houston worth at the end of year zero (after you've bought the cart)? Suppose WACC is 15%

Q8. How much is the **equity worth** in Chicago Hot Dog Business in Houston worth at the end of year zero (after you've bought the cart)? Suppose WACC is 15%

$$\text{Equity} = \text{Firm Value} - \text{Debt} = 85.44 - 30 = 55.44$$

Q9. Consider an investment in Benedict's Bricks

- a) Market value of equity of \$300 million and market value of debt of \$120 million. Further, it holds \$40 million of cash on its balance sheet. Further, it has 10 million shares outstanding. Assume the beta of the equity is 1.2 and the beta of the debt is 0.1. The market risk premium is 8% and the risk free rate is 3%. Assume that the Tax Rate is 30%. What is the WACC of the firm?
- b) What is the enterprise value of the firm?
- c) Suppose the FCFF estimates for the next five years are: \$10, \$12, \$14, \$16, \$17, with the cashflow occurring one year from today. At the end of the five years, the FCFF is estimated to grow at a constant rate of 3%, inline with inflation. Given all this information, what is the value of the firm?
- d) Given your answer to c), what is the equity value? Further, should the price per share be?
- e) If the firm is currently trading at \$18.50 per share, is it under/over/fairly priced?

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WACC = 9.76%

PART A				
Given	(Millions)	Beta	Expected Return	Weight
Equity Value	\$ 300.00	1.2	12.600%	71%
Debt	\$ 120.00	0.1	3.800%	29%
Cash	\$ 40.00			
Shares Outstanding	10.00			
MRP	8%			
Risk Free	3%			
Tax Rate	30%			
WACC	9.760%			

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Enterprise Value = Equity + Debt – Cash = \$300 + \$120 - \$40 = \$380 million

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<u>PART C</u>							
<u>Time</u>	<u>0</u>	<u>1</u>	<u>2</u>	<u>3</u>	<u>4</u>	<u>5</u>	<u>6</u>
FCFF	\$ -	\$ 10.00	\$ 12.00	\$ 14.00	\$ 16.00	\$ 17.00	\$ 17.51
PV of 1-5		\$ 9.11	\$ 9.96	\$ 10.59	\$ 11.02	\$ 10.67	
PV of perpetuity							\$ 162.60
Total PV	\$ 213.95						

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PART D				
Enterprise Value	=	Equity	+Debt	-Cash
Equity	=	Enterprise Value	-Debt	+Cash
Equity	=	\$ 213.95	\$ (120.00)	\$ 40.00
Equity	=	133.954208		
Price (per share)	\$ 13.40			

Equity value of \$133.95 million. 10 million shares outstanding so price per share should be \$13.395 so at \$18.50 it is overpriced.